Section 101, Section 102, and Section 505 of the Department of Revenue's Use and Occupancy Tax Regulations are being amended to implement City Council Bill No. 260205. The bill amends Section 19-1806 of The Philadelphia Code, entitled "Authorization of Realty Use and Occupancy Tax," to clarify the imposition of the tax on the use or occupancy of real estate with respect to cell towers. These amendments apply to use and occupancy on or after January 1, 2027.

PHILADELPHIA USE AND OCCUPANCY TAX REGULATIONS

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ARTICLE I
GENERAL PROVISIONS

Section 101. Definitions. The following words and phrases when used in these Regulations shall have the meaning ascribed to them in this section, except where the context clearly indicates a different meaning:

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(b) "Landlord." Any owner of real estate or any person who grants the right to use or occupy real estate or any part thereof to any lessee, sublessee, licensee or concessionaire. In general, the word "landlord" as used herein includes the owner of real estate which is leased in whole or in part to one or more tenants under a written or oral lease, regardless of the length of the term of such lease. "Landlord" also includes a lessee who grants the right to use or occupy all or a portion of the premises to a sublessee, *including a Cell Tower Owner leasing to a Cell Tower User*. "Landlord" does not include an agent or an owner of real estate where the agent does not have the ultimate authority to grant the right to use or occupy real estate without the written approval of the owner of such real estate.

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(d) "Square Feet Available for Use or Occupancy." The square feet available for use or occupancy within the whole portion of any real estate, together with any building or other structure erected on such land and the total floor space contained in such structures, exclusive of service, utility, and common areas under the control of the owner or other landlord thereof. The square feet available for use or occupancy may thus be defined as the total leasable or useable area of a building or tract of real estate.

If an owner or tenant makes use of the entire real estate for business purposes so that there is no vacant useable space therein, such use is taxable at 100% of the assessed value of the real estate, and it is therefore unnecessary to determine the square feet available for use or

occupancy.

If, however, one or more of the conditions described immediately below apply to a single real estate parcel, it is necessary to determine the "square feet available for use or occupancy" in order to compute the amount of tax to be paid by each user for business purposes:

(1) if there is more than one user of space for business purposes;

(2) if space is available for business use, but is not in use;

(3) if a portion of space is used for other than business purposes.

Such determination is made by totaling:

(1) the number of square feet of any land containing no structures; and

(2) the number of square feet of floor space contained in any building or other structure exclusive of the number of square feet in service, utility and common areas. All such space other than service, utility and common areas is included in "square feet available for use or occupancy", even though some or all of such space may be excludable from the numerator of the tax apportionment fraction (see Section 505 of these regulations) because it is vacant or because its use may be specifically excluded from taxation.

Where the use or occupancy of a portion (but less than all) of the **[property]** *real estate* is not subject to this tax, that portion of the real estate so used or occupied shall be treated as vacant space in the determination of "square feet available for use or occupancy".

Illustration:

On real estate measuring 100' x 200' there is an office building measuring 100' x 100'. The office building contains a full basement and five floors of office space.
Each floor, as well as the basement, contains 10,000 square feet. The portion of the real estate containing no structure is a 10,000 square foot parking lot for the common use of the tenants of the building. The basement area contains all of the utilities servicing the building and is also available to the tenants as a common storage area.

For the purpose of determining the square feet available for use or occupancy, the parking lot and basement area as well as space on the other five floors of the building used for common lobby area, elevators, stairways, hallways, rest rooms, and other usage in common, are not to be included in the measure of "square feet available for use or occupancy" because they are service, utility and common areas. Thus, only the actual floor space of the various offices is measured in order to determine the total

square feet available for use or occupancy of this real estate.

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(k) "Real Estate." For the purposes of U&O tax assessment and calculation, "real estate" includes only those parcels in the City of Philadelphia for which the Office of Property Assessment ("OPA") has certified an assessed value on the land and/or improvements, regardless of whether that value is taxable or exempt.

(l) "Cell Tower." Any device, whether free-standing or affixed to another structure, transmitting and receiving signals for a cellular telephone network. See for additional context definitions in Phila. Code Section 14-203.

(m) "Cell Tower User." Any person who uses a cell tower for business purposes, including cell carriers and cellular service providers.

(n) "Cell Tower Owner." The owner of the physical structure of the cell tower, regardless of whether the owner owns the underlying land.

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Section 102. What Constitutes Taxable Use or Occupancy of Real Estate.

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[Illustration No. 8:
The landlord of an office building leases space on the roof of the building to a sign company which erects a billboard, the base of which rests upon the roof.

The sign extends above the roof and is supported by guy wires or cables anchored in the roof 30 feet in all directions from the base of the sign.
The use of the square feet on the roof encompassed by the sign supports constitutes taxable use or occupancy. The remaining area of the roof, is unused for business purposes, is considered "common" space and will not be treated as a part of the premises available for use or occupancy.

Illustration No. 9:
A landlord leases space on the roof of a building to a radio station for the erection of an antenna. The antenna is supported by guy wires or cables.
The use of the square feet on the roof encompassed by the antenna cables constitutes taxable use or occupancy.

Illustration No. 10:
A landlord of a building under a lease permits the use of a vertical wall thereof by a sign

company. A sign is placed against or painted on the wall of the building. This use of vertical space does not constitute taxable use or occupancy; taxable use or occupancy is limited to use or occupancy of horizontal space.]

Illustration No. 8:

The use of a cell tower that is taxable real estate, whether it is affixed to an improvement, or free-standing, constitutes taxable use or occupancy of the cell tower. The Department employs the assessed value as determined by the OPA of each individual cell tower as the basis for calculating the tax. The Department uses this value-based method to ensure a fair and accurate apportionment of taxes among users of a single parcel, and among parcel owners throughout the City. U&O Tax Regulations § 401(a), see also School Dist. Of Philadelphia v. Damico, Inc., 328 A.2d 190 (Pa. Commw. 1974).

Illustration **[No. 11]** *9*: A stadium used for presenting sporting events on a commercial basis is leased to a tenant. There is an office in the stadium which is used by the tenant throughout the year. However, sporting events are presented to the public during only five months of the year. The use of the office space constitutes taxable use or occupancy for the full year. The use of the portion of the stadium for presenting sporting events constitutes taxable use or occupancy only during the period of such use.

Illustration **[11(a)]** *10*: Ace Pizza Parlor is located near the stadium complex. It is open from 5pm to 12am only on days that events are occurring at the complex. Businesses which make decisions to operate at specified times during the day and only during special events shall be subject to the Use or Occupancy Tax for the entire year.

Illustration **[No. 12]** *11*: An owner of a theater leases it for a period of one month. During that month the property is used two weeks for rehearsals and two weeks for public performances. The use for the entire month constitutes taxable use or occupancy.

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ARTICLE V
RETURNS AND PAYMENT OF TAX

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Section 505. Computation of Tax.

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(e) Illustrations of Tax Computation for Cell Towers: For purposes of computing the U&O tax for cell towers, the actual square footage of the cell tower is not necessary for the calculation. The certified assessed value is the value of each individual cell tower as determined by the OPA. Where there are improvements other than a cell tower(s) that are being used or

occupied for business purposes, the tax is calculated separately for the Cell Tower User(s) and the user(s) of other portion(s) of the property. See Reg. Sec. 101(d).

Illustration No. 1:

Private Cell Phone Company is the owner of a parcel of land on which there is one free-standing cell tower and no other improvements.

- *The cell tower has a certified assessed value of $357,000 and only one Cell Tower User is using it.*
- *The total assessed value of the parcel is $1,000,000.*
- *Other than the business use of the cell tower, there is no other business use or occupancy (e.g. parking).*

The computation of the tax due for the period of January 1, 2027, through December 31, 2027, for usage of the cell tower would be as follows:

Annually:
$357,000 value X 1.21% X 360 days occupied/360 days = ***$4,320 tax per year*** *for the Cell Tower User*

Or

Monthly:
$4,319.70 annually / 12 months = ***$360 tax per month for the Cell Tower User***

Illustration No. 2:

John Smith owns a parcel of land measuring 100,000 square feet, on which there is a cell tower and two warehouses.

- *Each warehouse measures 30,000 square feet. One warehouse is fully occupied by a commercial entity, while the other is vacant.*
- *The cell tower measures 300 square feet. However, for purposes of calculation of the tax, a constant of 100 square feet will be used in place of actual measurements. See Phila. Code §19-1806(4)(c)(.1)(.c)(i).*
- *The cell tower has one Cell Tower User.*
- *The total certified assessed value of the parcel is $2,000,000.*
- *Of the total value, the land has a total certified assessed value of $1,000,000. The cell tower's certified assessed value of $357,000 is included in that land value. The improvements have a total assessed value of $1,000,000.*
- *As there are multiple tenants using the property for business use and occupancy, and one of those tenants is a cellular service provider, the U&O tax bill must be calculated separately for the cell tower and the additional tenants.*

The computation of the tax for the period of January 1, 2027 through December 31, 2027, for the

usage of the cell tower would be as follows:

Cell Tower User U&O Calculation

Annually:
$357,000 value X 1.21% X 360 days occupied / 360 days = ***$4,320 tax per year for the Cell Tower User***

Or

Monthly:
$4,320 annually / 12 months = ***$360 tax per month for the Cell Tower User***

PLUS

Additional Tenant U&O Calculation

Total available square footage 160,000 sq ft - cell tower measurement according to Phila. Code §19-1806(4)(c)(.1)(.c)(i) 100 sq ft = 159,900 total sq ft being used

Total sq ft being used 159,900 - 30,000 sq ft from the vacant warehouse = 129,900 sq ft, which is 81% of available sq ft being used. See Reg. Sec. 101(d).

Annually:
Total value $2,000,000 - cell tower value $357,000 = $1,643,000 value
81% of $1,643,000 value = $1,330,830 value
$1,330,830 value X 1.21% X 360 days occupied / 360 days = ***$16,103 tax per year***

Or

Monthly:
$16,103 annually / 12 months = ***$1,342 tax per month for the occupied warehouse tenant***

Illustration No. 3:

John Brown owns a parcel of land measuring 10,000 square feet, on which there is one free-standing cell tower and no other improvements.

- *Other than the business use of the cell tower, there is no other business use or occupancy (e.g. parking).*
- *There are two Cell Tower Users using the cell tower.*
- *The total certified assessed value of the parcel is $1,500,000. Of that total value, the land has a certified assessed value of $1,000,000. The cell tower's certified assessed value of $714,000 is already included in the land value.*

The computation of the tax for the period of January 1, 2027 through December 31, 2027 for the usage of the cell tower would be as follows:

Total available square footage = N/A
Total sq ft being used = N/A
(For purposes of computing the U&O tax for cell towers, the actual square footage used is 100% and thus not necessary for the calculation.)

Total value of cell tower = $714,000

Annually:
$714,000 value X 1.21% X 360 days occupied / 360 days = $8,640 annual tax for the entire cell tower per year
$8,640/ 2 users = ***$4,320 per Cell Tower User per year***

OR

Monthly:
$8,640 tax for the entire cell tower per year / 12 months = $720 monthly tax for the entire cell tower
$720 / 2 users = ***$360 per Cell Tower User per month***

Illustration No. 3.5:

The facts are the same as illustration No. 3 except;

- *Cell Tower User A began using or occupying space on the tower on May 11th, 2026, and stopped using or occupying space on February 12th, 2027.*

Because Cell Tower User A was using or occupying the cell tower on January 1, 2027, the computation of the tax for the period January 1, 2027, through December 31, 2027, is based on the certified assessed value of the cell tower as of January 1, 2027. The tax calculation does not change based on the Cell Tower User's actual usage or cessation of usage during the remainder of the tax year. Accordingly, the tax for the cell tower for the 2027 tax year remains $8,640 for the Cell Tower User(s).

Illustration No. 3.6:

The same as illustration No. 3 except;

- *There is no Cell Tower User using or occupying the cell tower on January 1, 2027.*
- *Cell Tower User A begins using or occupying space on the cell tower on February 12, 2027.*

Because there is no Cell Tower User using or occupying the cell tower on January 1, 2027, the cell tower is not subject to U&O Tax for the 2027 tax year. The subsequent commencement of use or occupancy during 2027 does not change the tax calculation for that tax year.

Illustration No. 4:

Church ABC owns a real estate parcel measuring 10,000 square feet, wherein there is one cell tower affixed to the church steeple.

- *The church building is the only improvement on the property and because it is used for regular religious worship rather than commercial business purposes, it is exempt from the U&O tax.*
- *However, because the Cell Tower User is using real estate for commercial business purposes, the cell tower portion of the real estate is subject to U&O tax.*
- *There is one Cell Tower User using the cell tower.*
- *The cell tower's certified assessed value is $357,000.*

The computation of the tax for the period of January 1, 2027 through December 31, 2027 for the usage of the cell tower would be as follows:

Annually:
$357,000 value X 1.21% X 360 days occupied/360 days = ***$4,320 tax per year for the Cell Tower User***

Or

Monthly:
$4,320 annually / 12 months = ***$360 tax per month for the Cell Tower User***

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[ ] Brackets and bold indicate matter deleted.
__ Underline and italic indicate matter added.

Kathleen McColgan, Revenue Commissioner

Date: 10/16/26